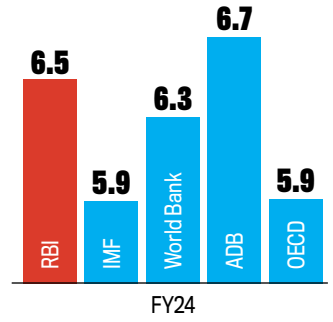
around the monsoon remain key risk factors. Any worsening of the global geopolitical situation could further some of these risks.

"There is always risk of turbulence from advanced countries," says D.K. Joshi, chief economist with Crisil. "When you raise the rates of interest so fast, there are chances of such a risk." From nearly zero per cent in May 2022, the US Federal Reserve has hiked rates to 4.75-5 per cent as of March this year in a bid to contain inflation. With increased global interlinkages, India's economic activity is impacted through trade and financial flows. The world economy performed better than expected in the January-March quarter of 2023, but the fall of the Silicon Valley Bank and Signature Bank heightened risks again, as they exposed the cracks in the country's banking system. Crisil is expecting India to grow at 6 per cent this fiscal, compared to an estimated 7 per cent in the previous one. The uncertain monsoon has become an added risk factor. "It may be too soon to predict the monsoon, but treat it as likely good news, for now. If the monsoon becomes abnormal, there is need to be worried," Joshi told INDIA TODAY. What will matter is how well distributed the monsoon is rather than the amount of rainfall.

Joshi is not too worried about investment at present, since government support continues. Demand is also expected to do better with rural wages rising, he adds. "Growth of rural wages is higher than the rate of inflation," he said. But the demand may be tempered by high rates. The RBI has paused its interest rate hike cycle at its recent monetary policy review, keeping the repo rate (rate at which it lends to commercial banks) at 6.5 per cent. However, he cautions against two factors—inflation, which, though under control currently,

ESTIMATING GROWTH

India's growth projections by the RBI and major international agencies



can turn tricky on the vagaries of the weather; and the rising oil prices. Oil prices have been rising ever since the Organisation of Petroleum Exporting Countries (Opec) decided to curtail crude oil production by 1.16 million barrels a day. India, which imports 85 per cent of its crude oil needs, will be impacted in a big way if crude oil prices, at $86.22 a barrel on April 14, move further up as predicted by some agencies to $95 a barrel. This will make fuel costlier and widen the current account deficit (the country's higher expenditure compared to its receipts), straining the rupee further and stoking more inflation.

Aditi Gupta, an economist with the Bank of Baroda, concurs with Joshi on the effects of a weak monsoon. "There are concerns with the evolving El Nino (unusual warming of surface waters in eastern Pacific Ocean) conditions, which may result in deficient rainfall," she wrote in a research note on April 12. "This will impact kharif production.... A slowdown in the agriculture sector will also weigh on rural consumption."

Inflation, El Nino and the rising fuel prices could play spoilers, curbing consumption as well as growth

There will certainly be no certainties this year. Policymakers will have to sway with the wind. ■

By Romita Datta

On March 29 and 30, after widespread violence—arson, stone-pelting, ransacking of homes and businesses—broke out over Ramnavami celebrations in West Bengal's Howrah and Hooghly districts, the main Opposition in the state, the BJP, accused the ruling Trinamool Congress and Chief Minister Mamata Banerjee of "disregarding Hindu sentiments", alleging the police were mere bystanders. The BJP was hinting at its old charge at Mamata—that of "Muslim appeasement". The TMC, on its part, hotly refuted the accusation, blaming the communal violence on the BJP, especially on armed "criminals and outsiders" present in the processions.

This latest exchange of accusations over the riots notwithstanding, Mamata does depend on Bengal's 27.5 per cent Muslim population (as per the 2011 Census) for a significant political edge over her adversaries. From handsome allocations in the budget for minority-specific schemes, whole-hearted support to agitations against the Citizenship (Amendment) Act (CAA) and the National Register of Citizens (NRC) to donning the hijab, Mamata has both substantive efforts and photo-optics covered in her bid to keep her Muslim vote bank happy. Then there is the constant red flag of the BJP's muscular Hindutva trying to make increasing forays into Bengal. So, while Prime Minister Narendra Modi has to make strenuous effort at Muslim outreach through *sneh sammelans* (gathering of love) and Modi Mitra campaigns targeting 65 Muslim-dominated constituencies, including 13 from West Bengal, before the 2024 Lok Sabha polls, Mamata is in a far better position.

In fact, for over a year, the BJP's electoral curve in Bengal has been on a downhill—in successive by-polls, the saffron party's vote share has slipped—from 38 per cent in the 2021 assembly polls to around 14-15 per cent. But a weak BJP is a cause